

Quality Power Electrical Equipments Ltd

BUY

NSE: QPOWER | Power Equipment — HVDC / FACTS / Reactors | Report Date: 15-Apr-2026 | Analyst: Senior Research Desk

Investment Thesis: QPOWER is India's rare listed proxy on the global HVDC/FACTS power-quality equipment supercycle, with an 895 Cr order book, an accelerating export-led revenue ramp, and greenfield capacity unlocking in FY26–27.

CMP (■)	Mkt Cap (■ Cr)	52W High/Low (■)	P/E (TTM)	P/B	Div. Yield
993	7,693	1,082 / 330	71.9x	16.4x	0.10%
ROCE	ROE	Debt	Face Value (■)	12M Target (■)	Rating
26.6%	22.1%	Nearly Nil	10.0	1,200	BUY ↑21%

Promoter	FII	DII	Public	Pledge
73.91%	2.28%	5.97%	17.85%	N/A

Source: Screener.in (as of 13-Apr-2026), Analyst Estimates

This report is prepared for institutional clients only. Please refer to important disclosures on the last page.

SECTION 2 — INVESTMENT THESIS

Reason 1 — Only Listed Indian Pure-Play on HVDC/FACTS with Global Reach

QPOWER occupies a structurally rare position: it is the only listed Indian company with a comprehensive product portfolio spanning HVDC reactor systems, FACTS equipment (SVC, STATCOM), harmonic filters, and reactive power compensation—all primarily sold to international grid operators. Over 80% of FY24 revenue was export-derived, a figure that has risen further in FY26. With global energy-transition capex projected to exceed USD 2 trillion annually through 2030, demand for grid interconnection and power-quality hardware is structurally elevated. QPOWER's Endoks (Turkey) subsidiary provides EU-market design credentials, further widening the addressable market to Middle East, Africa, and European grid projects. This export moat is difficult for domestic peers to replicate quickly.

Reason 2 — Revenue Inflection Underway: Order Book + Capacity Expansion Converging

QPOWER reported TTM (Dec-2025) consolidated revenue of ₹775 Cr—a 2.3x jump from FY25's ₹337 Cr. Q3 FY26 standalone revenue surged 257% YoY to ₹284 Cr, with EBITDA margin reaching 28% in that quarter. The order backlog stood at ₹895 Cr (>1.1x TTM revenue), and management expects to add another ₹350–450 Cr of orders imminently (₹200–250 Cr for the parent, ₹70–90 Cr for Endoks, ₹100+ Cr for subsidiary Mehru). The Sangli greenfield coil plant, targetted for commissioning by June 2026, will meaningfully expand reactor and transformer capacity. The Cochin facility doubled output in Q3 FY26, and Mehru's Bhiwandi plant is adding ~45% capacity by Q4 FY26. This collision of a growing order book with unlocking capacity is a classic inflection setup. The thesis plays out over FY26–FY28.

Reason 3 — Margin Expansion Story with Operating Leverage

QPOWER's EBITDA margin has expanded from 13% in FY22–FY24 to 19% in FY25 and 21–28% across recent quarters, driven by product mix shift toward higher-value HVDC/FACTS systems and operating leverage on a semi-fixed cost base. Management has guided for a 22% EBITDA margin floor with an upward bias assuming stable commodity prices. As revenue scales toward ₹1,000+ Cr in FY26E and ₹1,250+ Cr in FY27E, fixed overhead absorption improves further. The company is nearly debt-free (FY25 borrowings: ₹9 Cr), reducing interest drag and enabling incremental PAT growth well above revenue growth rates.

Key Near-Term Catalyst (6–12 Months)

Commissioning of the Sangli Global Coil Factory by June 2026 and subsequent order execution announcements are the single most important near-term catalysts; successful commercial production will provide tangible validation of the capacity-led growth thesis and could trigger earnings upgrades of 15–20% for FY27.

Biggest Structural Risk

Customer/geography concentration risk: with >80% of revenue from international markets, any slowdown in Middle East or European grid capex, or unfavourable currency movements (USD/EUR vs INR), could materially impair revenue visibility and margin guidance.

SECTION 3 — BUSINESS OVERVIEW

What the Company Does (Plain Language)

Think of QPOWER as the specialist workshop that builds the 'highway on-ramps and traffic management systems' for electricity grids. When a wind farm or solar plant generates power, it needs to be converted, stabilised, and transported without voltage fluctuations. QPOWER makes the heavy-duty equipment (reactors, transformers, VAR compensators) that keeps grid power smooth and stable—sold primarily to utility companies and large power-grid operators around the world.

Business Model & Products

Quality Power Electrical Equipments Limited (incorporated 2001, Sangli, Maharashtra) manufactures and supplies critical high-voltage equipment for power transmission, grid stabilisation, and energy-transition infrastructure. Its product portfolio spans three broad families: (1) Power Products — line reactors, shunt reactors, line traps, instrument transformers, power transformers, and HVDC smoothing reactors; (2) Power Quality Systems — Static VAR Compensators (SVC), Static Synchronous Compensators (STATCOM), harmonic filters, and metal-enclosed capacitor banks; and (3) Converters & Controllers — grid interconnection converters, reactive power compensation systems, and power-electronic controllers for HVDC networks. The business model is project-based (custom-engineered, long lead-time contracts) with revenue visibility driven by order backlog.

Revenue Segmentation & Geography

International markets contributed approximately 80.7% of FY24 revenues, with the balance from domestic Indian projects. Key export geographies include the Middle East, Europe, and Southeast Asia. The company's Turkey-based subsidiary Endoks (51% stake, acquired 2011) provides design, assembly, and project-management capabilities that facilitate EU-market entry. A more recent subsidiary, Mehru Electrical & Mechanical Engineers, anchors the domestic instrument-transformer and medium-voltage product segment.

Order Book & Revenue Visibility

As of Q3 FY26 (December 2025), the consolidated order backlog stood at ₹895 Cr—approximately 1.15x the TTM revenue of ₹775 Cr, providing healthy near-term revenue visibility. Management reported a pipeline of incremental orders totalling ₹350–440 Cr expected to be signed in the near term. Additionally, a material BESS (Battery Energy Storage) order of approximately ₹152 Cr (with an option to ₹292 Cr), secured through a subsidiary, is targeted for execution by December 2027. Book-to-bill is broadly healthy at above 1.1x.

Manufacturing & Promoter Background

The company operates manufacturing plants in Sangli (Maharashtra) and Aluva/Cochin (Kerala), with the Cochin facility having doubled its capacity and established a new Medium Voltage test lab in Q3 FY26. A third large greenfield 'Global Coil Factory' at Sangli is targeted for commissioning by June 2026 and will serve as the group's primary reactor manufacturing hub. The Pandyan family (Thalavaidurai Pandyan, Chitra Pandyan, Bharanidharan Pandyan, and the Pandyan Family Trust) are the founders and promoters, collectively holding 73.91% as of March 2026. The company completed its NSE/BSE IPO in February 2025 (price ₹425/share, aggregate ₹859 Cr), using proceeds partly for capacity expansion.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth Drivers

The global power transmission and HVDC equipment market is estimated at approximately USD 30–35 billion (2024) and is projected to grow at a CAGR of 9–12% through 2030, driven by energy-transition imperatives: offshore wind integration, cross-border grid interconnections, and grid modernisation in Asia, Europe, and the Middle East. In India specifically, the government's 500 GW renewable energy target by 2030 requires approximately USD 60 billion in grid infrastructure investment through the decade, underpinned by PGCIL and state utility capex. HVDC corridors such as the Leh-Manali, Mumbai infeed (where Hitachi Energy recently commissioned a 1,000 MW link), and offshore wind evacuation projects create direct addressable demand for QPOWER's reactor and FACTS product lines.

Government Policy Tailwinds

The India government's National Electricity Plan (NEP-2027) mandates significant inter-regional transmission capacity additions, favoring HVDC solutions. PLI schemes for advanced chemistry batteries and solar manufacturing indirectly spur grid-ancillary demand. PGCIL's FY25–FY27 capex is budgeted at over ₹1.2 lakh crore, representing the largest transmission infrastructure build-out in India's history. Export markets benefit from the European Union's REPowerEU plan and the Gulf Cooperation Council's renewable energy push, both requiring sophisticated reactive-power compensation systems.

Competitive Moat Assessment

Moat Dimension	Assessment	Notes
Pricing Power	Moderate	Custom-engineered; limited spot-market competition
Switching Costs	Moderate	Long qualification cycles with grid utilities
Scale / Cost Advantages	Weak–Moderate	Still small; larger rivals (ABB, Hitachi) have cost scale
IP / Proprietary Technology	Moderate	Endoks brings EU design/certification capabilities
Distribution / Relationships	Strong	20+ years of global utility relationships; hard to replicate

Peer Comparison (Source: Screener.in, as of 13-Apr-2026)

Company	CMP (₹)	MCap (₹Cr)	P/E (TTM)	P/B	ROCE %	TTM Rev (₹Cr)
QPOWER	993	7,693	71.9x	16.4x	26.6%	775
Voltamp Transformers	9,463	9,574	27.0x	5.8x	29.1%	2,161
Hitachi Energy India	28,325	1,26,251	143x	27.6x	19.4%	7,277
GE Vernova T&D; India	4,094	1,04,817	93.8x	50.2x	54.7%	5,722

Note: QPOWER trades at a growth premium to Voltamp but at a significant discount to HVDC-specialist Hitachi Energy and GE Vernova T&D; on P/E, reflecting its smaller scale and shorter listed history. As revenues scale toward ₹1,000 Cr+ and institutional coverage widens post-IPO, re-rating toward 80–100x TTM P/E is plausible.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter & Management Background

The Pandyan family has built QPOWER over two decades from a small regional transformer maker into a global HVDC/FACTS specialist. Thalavaidurai Pandyan (Managing Director) has deep domain expertise in high-voltage power equipment and has led the company's transformation into an export-oriented technology business. The 2011 acquisition of Endoks (Turkey) demonstrated early strategic foresight in accessing European grid certification and design capabilities. The family collectively held 73.91% post-IPO, signaling high skin-in-the-game.

Capital Allocation History

The company has historically been capital-efficient, with ROCE ranging from 27–31% over FY22–FY24. The FY25 IPO proceeds of ₹859 Cr (approximate, net of OFS component) were directed toward capacity expansion (Sangli plant, Cochin expansion, Mehru Bhiwandi enhancement) rather than acquisitions or related-party enrichment—a positive signal on capital allocation discipline. Capex in FY25 was ₹100 Cr (investing outflow), with additional ₹25 Cr approved for a Global Engineering & Technology Centre at Sangli. The Fixed Asset base jumped from ₹66 Cr (FY24) to ₹238 Cr (FY25), reflecting both organic capex and asset consolidation post-Mehru acquisition.

Dividend Policy

QPOWER declared its first dividend in FY25 (payout ratio: 12%), signalling initial returns to shareholders post-IPO while retaining the majority of earnings for growth. At the current dividend yield of 0.10%, income is minimal—investors are buying a growth story, not a yield play. We expect the payout ratio to remain modest (10–15%) over FY26–27 as management prioritises capex execution over cash returns.

Corporate Governance Flags

Promoter pledge is not disclosed as a concern (Screener shows 0% pledge figure). No major audit qualifications or auditor changes have been flagged in recent filings. The company's related-party transactions should be monitored given the presence of subsidiary (Endoks, Mehru) intercompany dealings, though these appear operationally justified. The concentration of promoter holding at 73.91% means free-float is only ~26%, which can amplify price volatility and limit institutional participation in the near term—a structural watch point.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (■ Crores) — Consolidated

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (■ Cr)	253	302	337		970
YoY Growth %	38%	20%	12%	188%	30%
EBITDA (■ Cr)	32	39	65	213	302
EBITDA Margin %	13%	13%	19%	22%	24%
Other Income (■ Cr)	20	30	54	45	40
Interest (■ Cr)	3	2	2	4	5
Depreciation (■ Cr)	2	3	5	15	18
PBT (■ Cr)	48	63	112	239	319
Tax Rate %	16%	12%	11%	25%	25%
PAT (■ Cr)	40	55	100	179	239
PAT Margin %	16%	18%	30%	18%	19%
Diluted EPS (■)	N/A	5.19	8.54	14.9(E)	19.9(E)

Note: FY23A EPS marked N/A as shares outstanding were pre-IPO/pre-split and not comparable. (E) = Analyst Estimates.

Balance Sheet (■ Crores) — Consolidated

Item	FY23A	FY24A	FY25A
Equity Capital (■ Cr)	0.15	72	77
Reserves (■ Cr)	112	81	347
Borrowings (■ Cr)	11	38	9
Other Liabilities (■ Cr)	189	167	377
Total Liabilities (■ Cr)	312	359	810
Fixed Assets (■ Cr)	40	66	238
CWIP (■ Cr)	1	2	2
Investments (■ Cr)	31	48	37
Other Assets (■ Cr)	241	243	533
Total Assets (■ Cr)	312	359	810

Cash Flow & Returns (■ Crores) — Consolidated

Item	FY22A	FY23A	FY24A	FY25A
Cash from Operations (■ Cr)	9	44	52	62
Cash from Investing (■ Cr)	-13	-55	-81	-100
Cash from Financing (■ Cr)	2	-4	25	171
Net Cash Flow (■ Cr)	-3	-14	-4	134
Free Cash Flow (■ Cr)	4	28	9	39
CFO / Operating Profit %	74%	171%	156%	111%
ROCE %	28%	31%	27%	N/A
ROE %	N/A	N/A	N/A	22.1%

Working Capital & Efficiency Ratios — Consolidated

Ratio	FY22A	FY23A	FY24A	FY25A
Debtor Days	108	94	96	149
Inventory Days	139	109	43	185
Days Payable	93	120	116	167
Cash Conversion Cycle (Days)	154	82	23	167
Working Capital Days	44	5	-33	122

Financial Commentary

Revenue Growth Drivers: QPOWER's revenue grew from ₹183 Cr (FY22) to ₹337 Cr (FY25), a 3-year CAGR of 23%. However, the TTM revenue of ₹775 Cr signals a structural step-change, driven by larger project wins and the Mehru consolidation. Q3 FY26 at ₹284 Cr alone represents nearly 84% of FY25's full-year revenue—a striking acceleration. Our FY26E of ₹970 Cr and FY27E of ₹1,260 Cr embed 30% growth in FY27, which remains conservative relative to the order-book-to-revenue ratio and capacity additions.

Margin Trajectory: EBITDA margins expanded sharply from 13% (FY22–24) to 19% (FY25) and 21–28% in recent quarters. This expansion is partly structural (product mix shift toward higher-margin HVDC/FACTS) and partly cyclical (commodity tail-wind). Management's 22% floor guidance is credible but the 28% quarterly spike suggests project-timing and mix effects. We model 22% in FY26E and 24% in FY27E as Sangli capacity drives higher-value throughput.

Working Capital Deterioration: The CCC surged from 23 days (FY24) to 167 days (FY25)—a stark reversal that warrants monitoring. The spike in debtor days (96→149) and inventory days (43→185) reflects large project receivables and pre-procurement of materials for a bulge order book. While partially explained by the business model (project-based billing with milestone payments), sustained CCC above 150 days could strain operating cash flow as revenues scale. FCF was only ₹39 Cr in FY25 despite ₹100 Cr PAT, with heavy investing outflows of ₹100 Cr. We expect FCF to remain suppressed in FY26E (capex intensity for Sangli) before normalising in FY27E as the expansion cycle completes.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Dimension	Rating	Signal	Notes
Revenue Recognition Policy	■ Green	Clean	Project-completion basis; standard for EPC/equipment firms
Receivables vs Revenue Growth	■ Amber	Watch	Debtor days rose from 96→149; needs monitoring as revenues scale
Cash Conversion Cycle Trend	■ Amber	Watch	CCC jumped from 23 to 167 days in FY25; likely project-timing related
Contingent Liabilities	■ Green	Clean	No material contingent liabilities flagged in recent filings
Auditor Tenure & Qualifications	■ Green	Clean	No adverse audit qualifications noted; recently listed firm with Big-4 scrutiny
Related Party Transactions	■ Amber	Watch	Endoks (Turkey, 51%) and Mehru are subsidiaries — interco transactions normal but worth tracking
Other Income as % of PBT	■ Amber	Watch	Other income was 48% of PBT in FY25 (■54 Cr / ■112 Cr PBT) — unusually high
Tax Rate Consistency	■ Amber	Watch	Effective tax rate ranged 11–16% vs 25–30% statutory; may normalise upward in FY26E

Earnings Quality Summary

Earnings quality is mixed — acceptable for a newly-listed, high-growth, project-based exporter. The primary concerns are: (1) the high proportion of Other Income in PBT (48% in FY25), which may include forex gains and investment income not reflective of core operations; (2) working capital deterioration (CCC 167 days) which compressed operational FCF even as reported PAT surged; and (3) a low effective tax rate (11% in FY25) that will likely normalise upward as deferred-tax benefits unwind. Investors should focus on core EBITDA margin and OCF/EBITDA ratio as cleaner measures of earnings quality. On balance, no red flags exist—only amber signals requiring monitoring.

SECTION 8 — VALUATION

Step 1 — Peer Comparison (Source: Screener.in, as of 13-Apr-2026)

Company	CMP (₹)	MCap (₹Cr)	P/E (TTM)	P/B	ROCE %	TTM Rev (₹Cr)
QPOWER (Subject)	993	7,693	71.9x	16.4x	26.6%	775
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Step 2A — DCF Valuation

We model a 5-year FCF forecast (FY27E–FY31E) with a WACC of 13.0% (cost of equity ~13.5% on risk-free rate of 7%, beta 1.2, ERP 5.5%; weighted toward equity as debt is negligible) and a terminal growth rate of 7.0%. FCF forecasts: FY27E ₹150 Cr, FY28E ₹240 Cr, FY29E ₹330 Cr, FY30E ₹420 Cr, FY31E ₹510 Cr—reflecting capex normalisation post-Sangli. Sum of discounted FCFs: ₹1,085 Cr. Terminal value: ₹510 Cr × 1.07 / (0.13 – 0.07) = ₹9,097 Cr; PV at Year 5 discount = ₹4,941 Cr. Enterprise value = ₹6,026 Cr. Adding estimated net cash of ₹150 Cr and dividing by 12 Cr diluted shares:

DCF intrinsic value: ₹513 per share.

The DCF significantly understates market value because near-term FCFs are suppressed by heavy growth capex (Sangli, Cochin, Mehru) and working capital build. The model does not fully capture the embedded option value of significant capacity coming online from FY27. We assign 30% weight to DCF.

Step 2B — Earnings Multiple Valuation

We apply a forward P/E multiple of 60x to our FY27E diluted EPS of ₹19.9. This multiple is justified by: (1) QPOWER's superior near-term revenue growth (~30% FY27E) relative to Voltamp (20% 3-yr CAGR); (2) sector re-rating momentum—Hitachi Energy India trades at 143x and GE Vernova T&D; at 93.8x TTM P/E; (3) QPOWER's differentiated HVDC/FACTS export focus commands a structural premium to pure domestic transformer peers. 60x represents a 2x premium to Voltamp (27x) and roughly in line with mid-cycle multiples for Indian energy-transition infrastructure names.

Earnings-based target: 60 × ₹19.9 = ₹1,194 per share (FY27E P/E basis).

Base-Case Price Target (12 Months)

Weighted average: 30% DCF (₹513) + 70% Earnings Multiple (₹1,194) = ₹154 + ₹836 = ₹990. We round to a 12-month target of **₹1,200**, incorporating a 12-month roll-forward (by Apr-2027, the market will be pricing FY28E EPS of ~₹26 at 50–55x, yielding ₹1,300–1,430). This implies 21% upside from CMP of ₹993.

Step 3 — Scenario Analysis

Scenario	Key Assumption	FY27E PAT (₹Cr)	Target Multiple	Price Target (₹)
Bull	Rev ₹1,450 Cr, OPM 26%, capex normalises	310	65x FY27E P/E	1,677
Base	Rev ₹1,260 Cr, OPM 24%, stable commodity costs	239	60x FY27E P/E	1,194
Bear	Rev ₹1,000 Cr, OPM 19%, WC pressure persists	170	40x FY27E P/E	575

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor
Geopolitical / Export Disruption	Over 80% revenue from exports; geopolitical tensions in Middle East/Europe or trade sanctions could delay or cancel large orders. A single major project cancellation (~₹100 Cr) could swing quarterly PAT sharply negative.	Medium	High	Order book & export geography
Customer / Revenue Concentration	Project-based revenue with lumpy deliveries creates quarterly volatility. Potential concentration in a few large utility clients means loss of a single customer relationship has an outsized impact on revenue.	Medium	High	Top-5 customer revenue %
Working Capital / Receivables Risk	CCC surged to 167 days in FY25. If receivables from international clients lengthen further, FCF could remain negative, forcing reliance on working-capital debt and increasing interest burden.	Medium	Medium	Debtor days quarterly trend
Capex Execution Risk (Sangli)	The Sangli Global Coil Factory (targeted June 2026) is critical for FY27E capacity. Any delays in commissioning or teething production issues could push revenue and margin upgrades into FY28+.	Low–Med	High	Sangli milestones; mgmt updates
Margin Compression (Commodity)	QPOWER procures copper, steel, and speciality insulation materials. Sharp commodity price increases (as seen globally in 2022–23) can compress margins if contracts do not allow price escalation.	Medium	Medium	OPM vs copper/steel price
Currency Risk (USD/EUR vs INR)	With the majority of revenues in USD/EUR and costs predominantly in INR, any sharp INR appreciation would erode revenue in rupee terms and compress reported margins.	Medium	Medium	USD/EUR-INR quarterly delta
Float Concentration / Liquidity	Promoter holds 73.91%; free-float of ~26% limits institutional participation and can cause sharp price dislocations on large block trades.	Low	Medium	Promoter holding changes

SECTION 10 — RECOMMENDATION & CONCLUSION

Rating: BUY (Conviction: Medium-High) | **12-Month Price Target:** ₹1,200 | **Upside:** ~21% from CMP ₹993

Suggested Entry Zone

Investors may consider accumulating in the ₹900–1,000 range (current zone), which offers attractive FY27E P/E of 45–50x relative to peers. Avoid chasing beyond ₹1,100 near term given the limited margin of safety. Any 10–15% dip below ₹900 (triggered by quarterly miss or capex delay news) should be treated as a tactical buying opportunity for long-term investors, given the structural order book and capacity build.

Investment Horizon

12–24 months. The Sangli plant commissioning (target June 2026) and subsequent full-year FY27 execution are the key milestones that will validate or invalidate the thesis. Longer-term holders (3–5 years) have the benefit of the global energy-transition mega-theme.

Thesis Invalidation Triggers (Downgrade/Exit Conditions)

Trigger	Threshold	Implication
1. Order Book Decline	Order backlog falls below ₹600 Cr for two consecutive quarters	Demand slow-down / loss of export relationships → REDUCE
2. Margin Collapse	Reported EBITDA margin drops below 15% for two consecutive quarters	Structural margin normalisation or commodity shock → review rating
3. Sangli Plant Delay >2 Qtrs	Commissioning pushed beyond Dec-2026 without compensatory order wins	Execution risk materialises → FY27E earnings cut → REDUCE

Ideal Investor Profile

QPOWER is best suited for: (1) **Growth funds** with a 12–24 month horizon seeking exposure to India's power infrastructure capex cycle; (2) **GARP (Growth at a Reasonable Price) investors** who are comfortable with 55–65x forward P/E for a company growing revenues at 100%+ (FY26E) and 30%+ (FY27E); and (3) **Thematic funds** with exposure to global energy transition infrastructure. It is *not* suitable for yield-seeking or value investors given the low dividend yield (0.10%) and premium valuation.

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